

PABRAI INVESTMENT FUNDS

1250 S. Capital of Texas Highway, Suite 1-520
Austin, Texas 78746-6414
USA

Tel. +1.512.999.7110
mp@pabraifunds.com

To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: January 17, 2023
Re: **Q4 2022 Letter to Partners**

Dear Partners:

For the quarter ended December 31, 2022, a total of \$13.7 million was added to the various funds by new and existing partners. December 31st was also our annual redemption date. A total of \$27.5 million was redeemed from the various funds in 2022. In the last year, subscriptions were about \$48 million and redemptions were \$27.5 million. Pabrai Funds is primarily open to offset redemptions. We aren't seeking more assets. I'm just trying to minimize the possibilities of us having to sell stuff we don't want to satisfy redemptions.

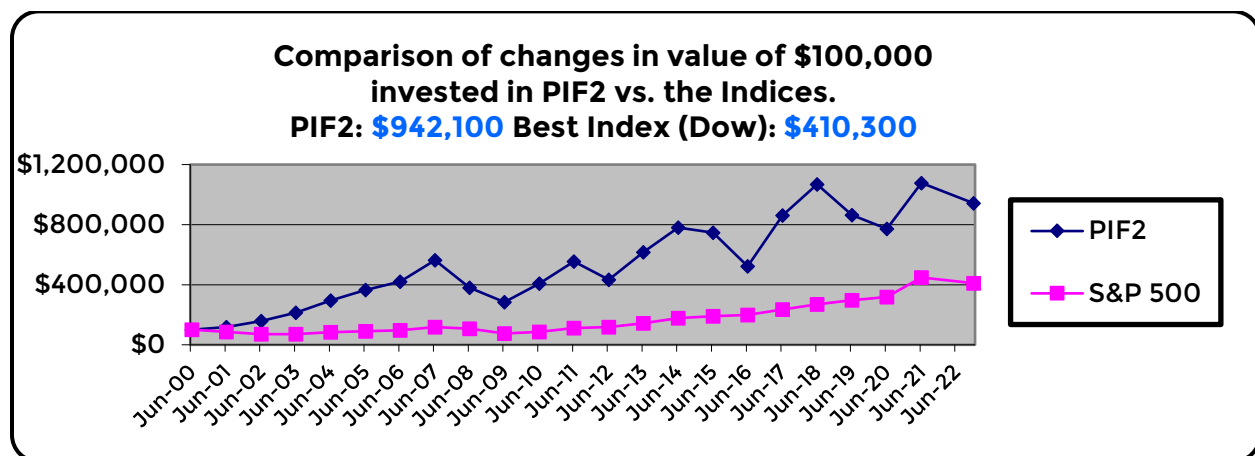
PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and the fund currently has one open slots. We have a handshake deal for a new investor to take this slot on April 1. Thus, until we have full redemptions, PIF2 is closed to new investors.

PIF3 is our offshore fund for non-US accredited investors, and US IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is \$4 million. PIF3 is closed to new and existing IRAs, but continues to be open to US foundations/endowments and foreign investors who are happy to join despite PIF3's concentration today (more on this below). PIF4 is for qualified US investors. The minimum investment to join PIF4 as a new partner is \$5 million.

For current investors in any of the funds, the minimum addition to their current investment is \$25,000. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). If you are interested in or would like more information about the April 1, 2023 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com. The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
1/1/22-12/31/22	-18.1%	-13.5%
Annualized	6.5%	10.6%
Cumulative	310.3%	842.1%

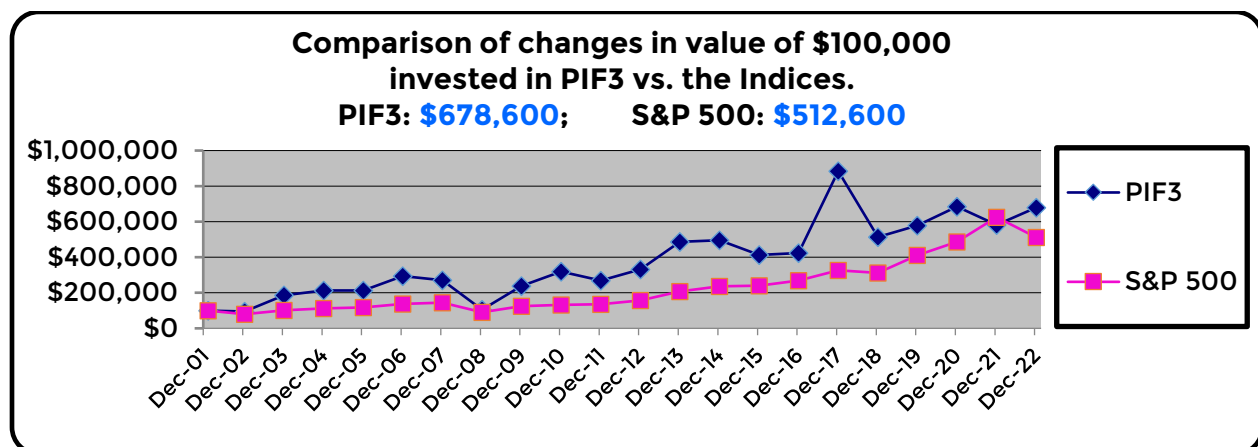


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,319,900 as of December 31, 2022 (net to investors). This equates to an annualized return of 11.6% since inception – after all fees and expenses. An investment of \$100,000 in the S&P 500 on July 1, 1999 was worth \$435,750 on December 31, 2022 – an annualized gain of 6.5%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-12/31/22	-18.1%	16.8%
Annualized	8.1%	9.6%
Cumulative	412.6%	578.6%

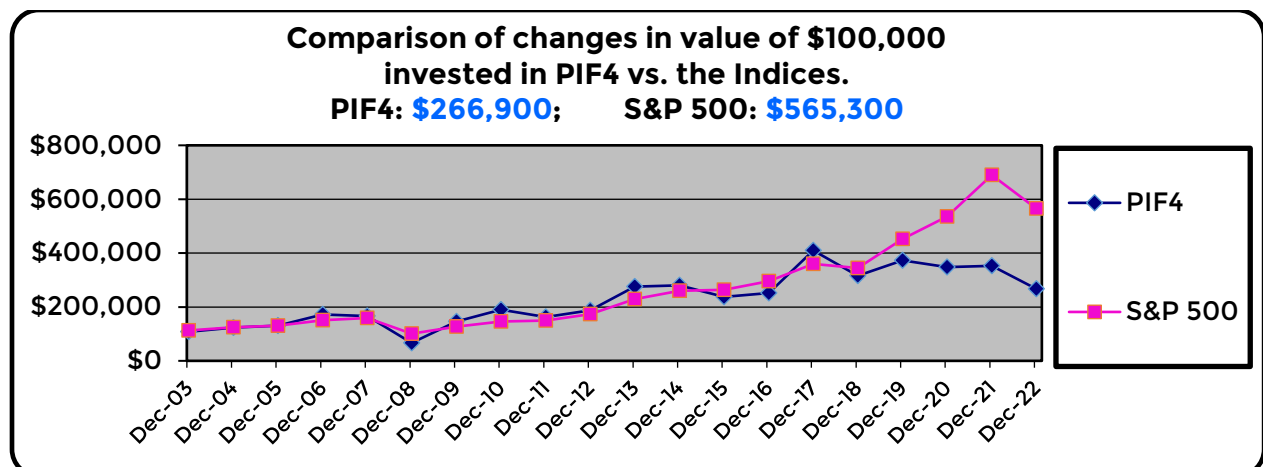


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$678,600 as of December 31, 2022 (net to investors). This equates to an annualized return of 9.6% since inception. An investment of \$100,000 in the S&P 500 on February 1, 2002 was worth \$512,600 on December 31, 2022 - an annualized gain of 8.1%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-12/31/22	-18.1%	-24.4%
Annualized	9.4%	5.2%
Cumulative	465.3%	166.9%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$266,900 as of December 31, 2022 (net to investors). This equates to an annualized gain of 5.2% since inception. An investment of \$100,000 in the S&P 500 on October 1, 2003 was worth \$565,300 on December 31, 2022 - an annualized gain of 9.4%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

The S&P 500 was up a solid 7.5% for the quarter. The three funds did even better and were up 24.3%, 43.7% and 9.0% respectively. The main cause for the difference in performance between the three funds was the differing amounts of Reysas Logistics (Turkiye) that they own. More color on this below.

All three funds have performed better than the S&P 500 for the last nine months as well. The S&P 500 is down 14.2% since April while PIF2 and PIF3 were up 6.9% and 35% respectively and PIF4 was down 9%. It reinforces my theory that the funds turned a corner in April and are poised for some robust returns in the year ahead. For the full year of 2022, the S&P 500 was down 18.1% while PIF2 was down 13.5%, PIF3 was up 16.8% and PIF4 was down 24.4%.

My focus is on longer term results. We own fractions of some great businesses run by exceptional managers bought well below their underlying intrinsic value. We are seeing some early green shoots now. The journey will not be without a few bumps and detours, but, barring outlier events, the numbers for the foreseeable future are likely to be well ahead of the S&P.

All three funds have beaten the S&P 500 from their respective inceptions through 2017. They've also beaten the index over 1, 3, 5 and 10 years when one looks back from 2017. Our laggard years were 2018-21. We owned many fine businesses during much of this period (e.g. Micron and Reysas). Part of our underperformance resulted from Mr. Market not recognizing the real value of these assets. That has begun to change.

Our Ownership of Reysas in Turkiye

I have discussed Reysas several times in past annual meetings and letters. I recommend you read past commentary here - [PIF3 Investor Deck](#) (page 6), [Jul. 2022 Letter to Partners](#) (page 6), [2022 Annual Meeting Presentation](#) (pw: Munger) (from 1:41), [2022 Annual Meeting Presentation Transcript](#) (page 3), [2021 Annual Report](#) (page 3), [2021 Annual Meeting Presentation](#) (pw: Munger) (from 2:00), [2021 Annual Meeting Presentation Transcript](#) (page 3), [Jan. 2021 Letter to Partners](#) (page 8), [2020 Annual Meeting Presentation](#) (pw: Munger) (from 3:00) and [2020 Annual Meeting Presentation Transcript](#) (page 5).

The ownership stake we have in Reysas in the three funds varies widely:

PIF2 owns 10.6% of Reysas Logistics and 2.4% of Reysas REIT.

PIF3 owns 20.1% of Reysas Logistics and 2.6% of Reysas REIT.

PIF4 owns 2.8% of Reysas Logistics and no shares of Reysas REIT.

Reysas Logistics is the holding company and owns 62% of Reysas REIT. The founders of Reysas have most of their stake in Reysas Logistics, which is where

we own most of our interest in the Reysas Group. In the last 23+ years, Pabrai Funds has never deliberately tried to make the three funds have identical holdings. The formula we have always followed is the smallest fund goes first, then the 2nd largest and then the largest. Both for buys and sells. If a fund does not have cash, it is skipped over and we go to the next fund. This formula, along with large differences in subscriptions and redemptions, lead to somewhat differing portfolios.

In 2019, when we started buying Reysas, PIF3 was the smallest fund and it had cash and went first. Then PIF2 and finally PIF4. Reysas was a nanocap in 2019 with a market cap of \$20 million. We got about 1/3 of the business for \$7-8 million, which was just over 1% of AUM at that time. Most of my holdings in Pabrai Funds is in PIF2 and PIF4. It would have been far better for me personally if PIF4 had a large Reysas position. I've never looked at what benefits me the most. We just follow the formula. Going first is not always an advantage. Sometimes prices drop and the last fund ends up with better economics. Usually things average out, but not in this outlier case.

Concentration cuts both ways. Reysas has dropped around 20% since the start of the year (on no news). Thus far in 2023, PIF4 is trouncing the other two funds. While Reysas makes up just 4-5% of PIF4, the rest of the portfolio has several stars, including Micron Technology, Edelweiss and TAV Airports. It is likely to do very well in the years ahead.

Our Reysas Logistics position was valued at over \$100 million at year end, and responsible for much of the performance delta between the three funds in 2022.

An Update on Reysas

One of the reasons Reysas stock came alive in 2022 is that virtually every business they are in is experiencing strong boom conditions. Warehouses they rented five years ago at rents of \$2/sq. ft./year would re-lease today at over \$10/sq. ft. They recently signed a 11-year lease with Mercedes for a new warehouse that is now under construction at a blended rate of \$18/sq. ft. Their typical warehouse rents through 2021 were in the \$2-5/sq. ft. range. The Mercedes lease shattered all previous records.

Warehouse space availability in Turkiye is extremely tight due to zoning issues and banks pulling back aggressively on lending. In a late 2022 interview with Bloomberg, the founder/Chairman of Reysas mentioned that "...we do not have even one square meter of vacant warehouse space available for rent." With over 11 million square feet and 60+ warehouses, Reysas is the single largest warehouse owner in Turkiye. The next biggest competitor has 2 million square feet.

They are currently in the midst of expanding their footprint by around 8% with the construction of two large warehouses. The second one was rented to Carrefour

at a blended rent of over \$13/sq. ft. If Reysas were to re-lease it's entire footprint today, their rental income would skyrocket. Leases are typically for five years with a near automatic five-year extension, so, on average about 10% of the footprint is going to get re-leased every year. While they get to adjust rents at the official inflation rate, this has historically been understated versus real inflation.

After five years, the courts allow them to typically charge 70+% of market rents. If these boom conditions persist and they grow their footprint by 8% a year, rents in 2027 would be over \$180 million. At a 5-7% cap rate, the properties would be worth between \$2.6 and 3.6 billion. The nearly \$700 million in rents collected between now and 2027 could actually pay for 6 million square feet of new warehouses with zero bank financing – well above the 4.5 million sq. ft. increase assumed with 8% compounded growth.

Real Estate Booms and Busts

Booms and busts are the norm in real estate. We get extreme booms and busts in Class A office towers. The reason is that when rents skyrocket, everyone and their brother starts building office towers. These towers take about five years from drawing board to occupancy. A massive number of new towers then hit the market in years 5-9 and rents nosedive. It takes a few years for this overhang of extra space to be absorbed and the cycle repeats.

Warehouses are better asset class because the time from drawing board to occupancy is 9-15 months. This shorter gestation period dramatically tempers the booms and busts. In Turkiye, all the Class A large warehouses are fully leased out and virtually no one is able to build new warehouses due to the lack of bank financing. As soon as that changes, assuming zoning issues are not a showstopper, we are likely to see rents taper down. It is unlikely we'll see a spectacular bust because of the short pregnancy period versus office towers.

Another factor that is likely to keep rents high is that construction and land costs have gone up substantially. Building a warehouse today in Turkiye costs \$100-120/sq. ft. vs. \$50-60 a few years ago. If one is putting up \$30-40/sq. ft in equity, in Turkiye, rent expectations would be at least \$7-8 for landlords to go through the trouble.

What in Reysas worth?

The replacement value of the Reysas real estate footprint today is around \$1 to \$1.2 billion. We can add another \$200 million for their solar business. If we remove the \$100 million of debt, 62% of this is \$750 to \$850 million. Their various other businesses at Reysas Logistics may have a value of \$200 million or so. Liquidation value may be around a billion versus a market cap of less than 1/3 of that.

If we go by cap rates and these boom conditions persist, liquidation value in 2027 could range from \$1.8 to \$2.5 billion. This is liquidation value. With their disciplined capital allocation and spawning capabilities one can argue that intrinsic value should be 50% or more than liquidation value.

The base case intrinsic value for Reysas may be around \$1.5 billion. The bull case value could be \$2.5 to \$3.5 billion. We are talking about a country with sky high inflation, non sensical monetary policies and a plethora of other issues. Even if all goes to hell In Turkiye, it is hard to imagine losing money from here due to their long leases with AAA credits and the real market value of their assets.

It is interesting to note that Reysas Logistics only raised \$40 million at its IPO in 2006. After that the only capital added was a \$10 million rights issue in 2021 (which we fully participated in). This \$50 million that went in has a likely value of around \$1.5 billion today. A very nice 30x in 17 years.

My present view on Reysas is to do nothing with it as long as the father son duo who run the place continue to allocate capital well and grow shareholder value. Buy right and sit tight! We hope to own this for decades.

Extreme Concentration in the Various Pabrai Funds

The art of investing in public companies successfully is little different from the art of successfully acquiring subsidiaries. In each case you simply want to acquire, at a sensible price, a business with excellent economics and able, honest management. Thereafter, you need only monitor whether these qualities are being preserved.

When carried out capably, an investment strategy of that type will often result in its practitioner owning a few securities that will come to represent a very large portion of his portfolio. This investor would get a similar result if he followed a policy of purchasing an interest in, say, 20% of the future earnings of a number of outstanding college basketball stars. A handful of these would go on to achieve NBA stardom, and the investor's take from them would soon dominate his royalty stream. To suggest that this investor should sell off portions of his most successful investments simply because they have come to dominate his portfolio is akin to suggesting that the Bulls trade Michael Jordan because he has become so important to the team.

- Warren E. Buffett, Berkshire Hathaway Letter to Shareholders, 1996 (Page 11)

While Pabrai Funds does not allocate more than 10% of assets to any single position at cost, periodically the funds get very concentrated. Here are the largest holdings in each fund at this time:

<u>Pabrai Investment Fund 2</u>	
Reysas Logistics & REIT (Turkiye)	20%
Rain Industries (India)	19%
Micron Technology	16%
TAV Airports (Turkiye)	15%
Top 4 positions	69%

<u>Pabrai Investment Fund 3</u>	
Reysas Logistics & REIT (Turkiye)	33%
TAV Airports (Turkiye)	15%
Micron Technology	14%
Rain Industries (India)	11%
Top 4 positions	72%

<u>Pabrai Investment Fund 4</u>	
Micron Technology	22%
Sunteck Realty (India)	18%
TAV Airports (Turkiye)	17%
Edelweiss Financial (India)	14%
Top 4 positions	71%

Even the not so diligent reader will note that the top four positions in all four funds are hovering around 70%. In the case of PIF3, the top two positions make up half the funds – and they are both headquartered in Turkiye. I am very bullish on the prospects of all six of these businesses. While I could eventually be proven wrong in my assessment on one or two of them (I wish I knew which ones!), in aggregate they're likely to do very well in the years ahead.

It is important for you understand that Pabrai Funds will not trim a position simply because it is a large position. If we take the extreme case of Reysas sporting a market cap of \$3 billion in 2027, PIF3 would have \$600 million invested in Reysas then versus around \$60 million today. PIF3's NAV is around \$180 million today. If the remaining positions go up 15% a year and we had no subscriptions or redemptions, the fund would be \$840 million in size and Reysas would make up 71% of the pie. Even in that scenario, we would not trim Reysas if we believed the future was bright for Reysas and it was not egregiously overpriced. I'm with Buffett. I do not have much interest in cutting the flowers and watering the weeds. We're not looking to trade Michael Jordan to balance the portfolio.

The way to think about these good/great businesses where we have a large stake is to pretend that we are the founding family. Sam Walton died over 30 years ago. There are no Waltons involved in running Walmart. Just one Walton serves on the board. Three decades after Sam's death the family has mostly held on to the stock. Most of their wealth is concentrated in just one business which they do not run or control.

The founders and leaders of Edelweiss, Reysas, Rain Industries and Sunteck Realty have 90+% of their family net worth tied up in the business they are running. All of them are very comfortable with this concentration and not looking to diversify. If they are comfortable with this extreme concentration, why should we be uncomfortable? I would estimate that less than 2% of families invested in Pabrai Funds have the majority of their assets with us. The rest of you have plenty of diversification and even a single position at 70% in Pabrai Funds is likely a small portion of your assets.

If you have any discomfort about any of this, you should exit at the next redemption window. It is important that we are in full alignment.

As an aside, while Micron and TAV are not founder led, I am bullish on them. In the case of TAV, the Chairman is a pseudo founder and has a significant stake. Sanjay Mehrotra has strong incentives for Micron to do well, but I do not know his exposure to Micron versus his net worth.

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 227,121 units of PIF4. The administrative team at Pabrai Funds and I own 42,918 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 101,869 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately \$31 million.

Pabrai Funds charges no management fee, just performance fees – which are $\frac{1}{4}$ of the returns over 6% annualized (subject to high-water marks). I only get paid

when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q4 2022.

I have an approximately \$4.9 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately \$0.5 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investment Statements

Your 12/31 investor statement have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Our fund administrator, Liccar, has migrated all investor portals to a new platform. You should have already received a link from Liccar Fund Services to set up your new portal. If you did not receive your email invitation, or you are experiencing issues, please contact Kimberly as soon as possible.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, we expect your final K-1s to be uploaded to your portal in March 2023 by Liccar.

Annual Report – Will be out in Q2 2023

Our modus operandi now is to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in Q2 2023.

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. With zero travel due to Covid, I have reduced my decline rate on speaking to students. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Q&A Session with YPO Gold Nairobi in Kenya on October 11, 2022

I enjoyed my discussion with the members of YPO Gold at Nairobi, Kenya on compounding, especially with an example of the Manhattan deal by Native

Americans. I talked about intrinsic value of stocks, my investments in Turkiye, and other global opportunities.

[Q&A Session with YPO Gold Nairobi in Kenya on October 11, 2022](#)

Speaker Event with Helvetian Investment Club on November 29, 2022

I enjoyed my talk with the Helvetian Investment Club at St. Gallen University of Switzerland on the asymmetry mental model. I talked about different aspects of value investing, the power of truth and analyzing the portfolio to maximize returns.

[Speaker Event with Helvetian Investment Club on November 29, 2022](#)

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com

2023 Annual Meeting

There will be two annual meetings held sequentially in 2023: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds.

The **In-Person Austin** meeting is scheduled to be held on **Saturday, September 9th, 2023** at 4:00 PM Central Time at:

[St. Edwards University](#)

John Brooks Williams Science Center South
3001 South Congress, Austin, Texas 78704-6489

Tel: +1 512-448-8400

St. Edwards has a beautiful campus lined with 100-year-old Texas live oak trees and is only 10 minutes from downtown Austin. It is also a 10-minute drive from Austin-Bergstrom International Airport (AUS).

There are many hotels in downtown Austin and cheaper options 10-15 miles out.

Agenda for the Austin meeting:

4:00 – 4:30 PM:	Meet and Greet
4:30 – 6:30 PM:	Presentation and Q&A
6:30 – 7:15 PM:	Cocktail Hour

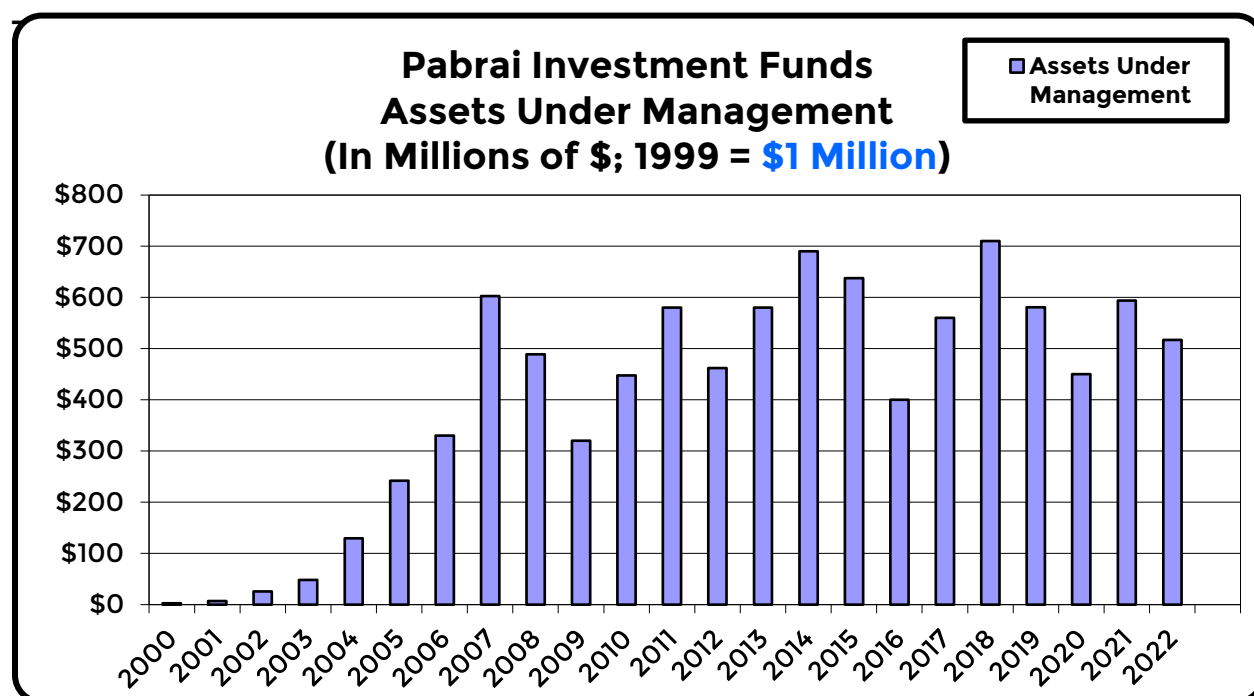
The **Virtual** meeting is scheduled to be held via video conference on **Saturday, September 23rd, 2023** at 4:00 PM Central Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

Agenda for the virtual meeting:

4:00 – 6:00 PM Central Time: Presentation and Q&A

The invites will go out electronically via email in July 2023. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are a Registered Investment Advisor, the SEC requires that all guests must be “accredited investors,” which includes your adult kids (22 years or older). The invitation is non-transferable. I look forward to seeing you in September.

Assets Under Management



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warmly,



Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Copyright © 2023 by Mohnish Pabrai. All Rights Reserved. Please do not post or forward this letter.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	\$10.00
330,014	06/30/2001	\$11.74
1,027,795	06/30/2002	\$15.89
1,950,982	06/30/2003	\$21.32
2,445,212	06/30/2004	\$29.58
2,696,687	06/30/2005	\$36.52
2,646,687	06/30/2006	\$41.99
3,013,111	06/30/2007	\$56.25
2,934,990	06/30/2008	\$38.01
2,468,091	06/30/2009	\$28.45
2,409,165	06/30/2010	\$40.84
2,257,421	06/30/2011	\$55.46
2,180,892	06/30/2012	\$43.36
2,057,676	06/30/2013	\$61.68
1,906,927	06/30/2014	\$78.13
1,795,006	06/30/2015	\$74.64
1,684,602	06/30/2016	\$52.26
1,774,805	06/30/2017	\$86.17
1,959,084	06/30/2018	\$106.77
1,896,122	06/30/2019	\$86.30
1,830,037	06/30/2020	\$77.13
1,859,576	06/30/2022	\$76.64
1,885,954	09/30/2022	\$75.82
1,851,599	12/31/2022	\$94.21

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,793	12/31/2005	\$21.32
2,930,608	12/31/2006	\$29.37
6,438,615	12/31/2007	\$27.09
5,415,189	12/31/2008	\$10.57
5,038,658	12/31/2009	\$23.79
4,885,267	12/31/2010	\$31.95
4,701,613	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,384,591	12/31/2013	\$48.70
4,290,222	12/31/2014	\$49.61
3,805,336	12/31/2015	\$41.33
2,433,652	12/31/2016	\$42.27
2,409,693	12/31/2017	\$88.45
2,473,097	12/31/2018	\$51.42
2,376,897	12/31/2019	\$57.85
2,326,717	12/31/2020	\$68.52
2,442,868	12/31/2021	\$58.11
2,493,556	03/31/2022	\$50.25
2,667,607	06/30/2022	\$47.11
2,698,641	09/30/2022	\$47.22
2,795,778	12/31/2022	\$67.86

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,803	12/31/2005	\$13.01
11,528,331	12/31/2006	\$17.23
16,899,746	12/31/2007	\$16.64
15,737,042	12/31/2008	\$ 6.66
15,725,066	12/31/2009	\$14.57
15,251,129	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,683	12/31/2013	\$27.53
10,642,015	12/31/2014	\$28.03
9,531,764	12/31/2015	\$23.71
8,792,042	12/31/2016	\$25.21
8,040,030	12/31/2017	\$40.96
7,809,565	12/31/2018	\$31.64
6,628,989	12/31/2019	\$37.33
6,034,088	12/31/2020	\$34.82
5,783,836	12/31/2021	\$35.33
5,894,056	03/31/2022	\$29.33
6,169,477	06/30/2022	\$25.84
6,326,745	09/30/2022	\$24.48
5,749,279	12/31/2022	\$26.69

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.